

ALDERGATE PARTNERS

AP-2026-114 · SEPTEMBER 2026

Margin Review

Where 8.1 points of gross margin went, and what can be recovered in four quarters

PREPARED FOR

Halcyon Interiors BV



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Figures and tables are numbered in sequence through the report. All financial figures are stated in euros against the FY25 base unless noted otherwise.

1

Executive summary

Gross margin has fallen 8.1 points in eight quarters, from 41.2% in Q1 FY24 to 33.1% in Q4 FY25. On FY25 revenue of €58.4M that gap is worth €4.7M of gross profit a year. Revenue over the same period grew 4.5%, so this is not a demand problem. It is a pricing and procurement problem that has been accumulating quarter by quarter without anyone owning the total.

Two causes account for seven of every ten points lost. Input cost inflation that was never passed through to the catalogue costs 3.4 points. Discounting on large tenders, which no one above regional director approves, costs 2.2 points. The rest is mix, freight and labour.

THE FINDING

Halcyon did not lose margin to competitors. It gave the margin away, one tender at a time, under a discount policy that has no ceiling and no reporting line.

Five moves recover 5.3 points within four quarters. They are worth €3.1M of gross profit a year and cost €340,000 once. None of them requires new equipment, new premises or additional headcount, and none depends on winning more work than Halcyon wins today.

The remaining 2.8 points are structural. The sales mix has genuinely moved toward seating, and seating earns 27.4% where desking earns 41.9%. Recovering those points would mean changing what Halcyon sells, which is a strategy question rather than a margin question, and it is outside the scope of this review.

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Scope and method

Halcyon Interiors BV manufactures contract furniture — seating, desking and acoustic systems — for offices, hospitality and healthcare clients across the Benelux and western Germany. The company was founded in 1998, employs 214 people, and booked €58.4M of revenue in FY25.

The board commissioned this review in June 2026 after the fourth consecutive quarter of margin decline. Fieldwork ran for six weeks across July and August

2026. The question put to us was narrow and we have kept to it: where did the margin go, and how much of it can be recovered without changing the business model.

WHAT WE LOOKED AT

- An ERP extract covering eight quarters to Q4 FY25: 1,847 order lines, 312 active SKUs, 11 inbound carriers.
- Fourteen interviews across sales, production, procurement and finance, including all four regional directors.
- Three site visits: the Eindhoven plant, the Antwerp warehouse and the Düsseldorf showroom.
- Input cost benchmarks from nine comparable contract-furniture manufacturers in the same buying region.

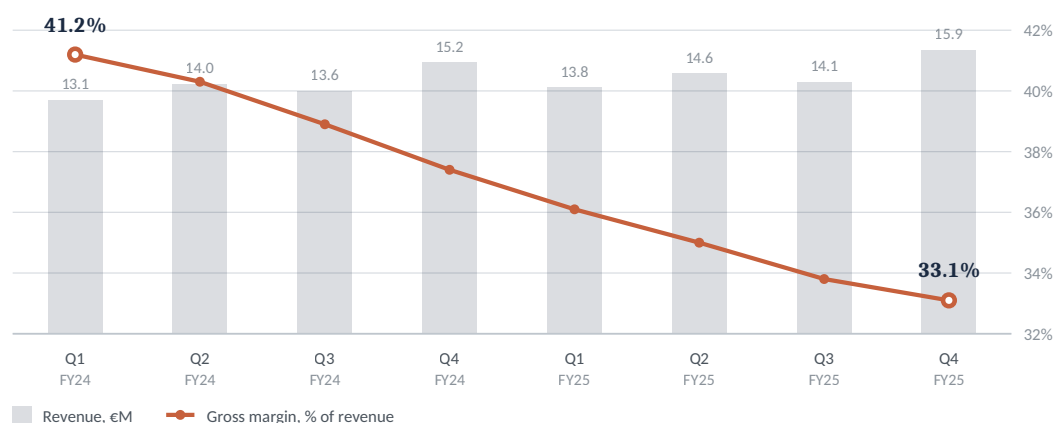
WHAT WE DID NOT LOOK AT

Overheads below the gross margin line, sales headcount, and the capital plan. Each was raised during interviews and each is a real question, but none of them explains the eight-quarter decline and mixing them in would have obscured what does.

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Eight quarters of margin

The decline is unusually smooth. There is no quarter where something broke; every quarter is slightly worse than the one before it. That pattern matters, because it is the signature of an accumulating policy failure rather than a one-off shock, and it is also the reason nobody escalated — no single quarter looked bad enough to.

FIGURE 1 Revenue held. Margin did not. Quarterly revenue (bars, €M) against gross margin (line, %).**TABLE 1** Quarterly revenue and gross margin, Q1 FY24 to Q4 FY25

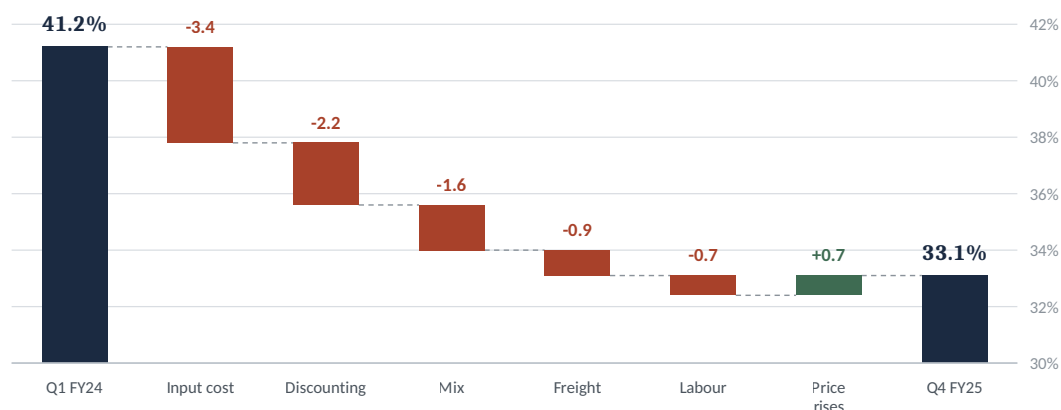
QUARTER	REVENUE (€M)	GROSS MARGIN	CHANGE
Q1 FY24	13.1	41.2%	—
Q2 FY24	14.0	40.3%	-0.9
Q3 FY24	13.6	38.9%	-1.4
Q4 FY24	15.2	37.4%	-1.5
Q1 FY25	13.8	36.1%	-1.3
Q2 FY25	14.6	35.0%	-1.1
Q3 FY25	14.1	33.8%	-1.2
Q4 FY25	15.9	33.1%	-0.7

FY25 revenue of €58.4M was 4.5% above FY24. Every quarter of FY25 beat its prior-year equivalent on revenue and lost to it on margin.

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Where the 8.1 points went

The bridge below decomposes the fall. It is built from the order-line extract rather than from the management accounts, so each component is traceable to specific orders. The six components sum exactly to the 8.1 points observed.

FIGURE 2 Gross margin bridge, Q1 FY24 to Q4 FY25. Red bars destroy margin, green creates it.**TABLE 2** Margin bridge components

COMPONENT	POINTS	WHAT IT IS
Input cost inflation	-3.4	Board, foam and steel bought at 2024 contract terms through 2026
Tender discounting	-2.2	Blended discount on tenders above €500,000 moved from 11.8% to 19.4%
Product mix	-1.6	Seating grew from 31% to 44% of revenue at 12.6 points below the blend
Inbound freight	-0.9	Eleven carriers, no tender since 2023, spot rates on 38% of inbound loads
Labour productivity	-0.7	Setup hours per order up 11% as the SKU count grew
Price increases passed	+0.7	Two catalogue increases, 1.4% combined, against 9.8% input inflation
Total	-8.1	

READ THE LAST TWO LINES TOGETHER

Input costs rose 9.8%. Prices rose 1.4%. Nobody decided that; the catalogue was simply never reopened, and the gap between those two numbers is most of this report.

Discounting: the part nobody approves

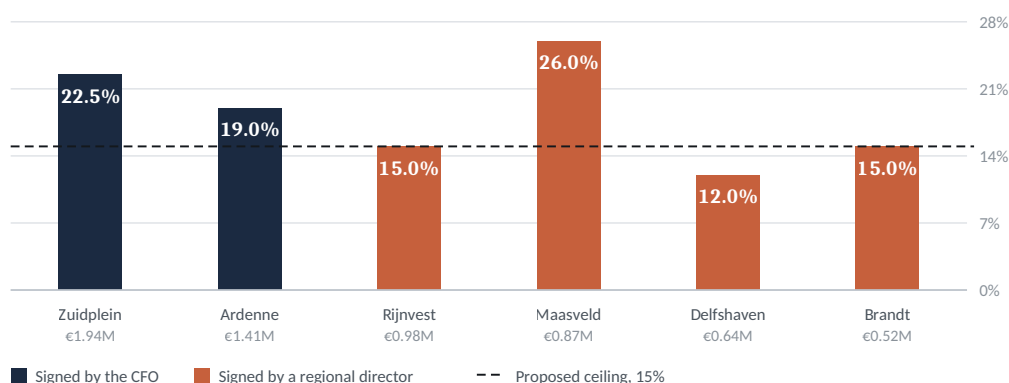
Halcyon's discount policy is one sentence long and it has no ceiling. Any tender below €1M can be signed by a regional director at any discount they judge neces-

sary. Above €1M the CFO signs. In FY25 that put €9.6M of tender revenue entirely outside financial review.

TABLE 3 The six largest tenders of FY25

TENDER	SECTOR	LIST VALUE	REALISED	DISCOUNT	SIGNED BY
Zuidplein Offices, phase 2	Corporate	€1,940,000	€1,504,000	22.5%	CFO
Hotel Ardenne Group refit	Hospitality	€1,410,000	€1,142,000	19.0%	CFO
Rijnvest HQ, floors 3–7	Corporate	€980,000	€833,000	15.0%	Region
Maasveld Health campus	Healthcare	€870,000	€644,000	26.0%	Region
Delfshaven Polytechnic commons	Education	€640,000	€563,000	12.0%	Region
Brandt & Co offices	Corporate	€520,000	€442,000	15.0%	Region
Total		€6,360,000	€5,128,000	19.4%	

FIGURE 3 Discount granted against tender size. The largest concession went to the fourth-largest tender, signed without review.



The Maasveld tender is the clearest case. It carried the deepest discount of the six at 26.0%, it was the only one of the six competing against a single named rival, and it was signed by a regional director in the same week the rival withdrew. Nobody above the region saw it, before or since.

Tenders above €500,000 were €16.9M of FY25 revenue, 29% of the total. Their blended discount moved from 11.8% in FY24 to 19.4% in FY25, a swing of 7.6 points. Applied to 29% of revenue that is 2.2 points of company gross margin.

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The product tail

Halcyon carries 312 active SKUs. Forty of them produce 71% of revenue. Thirty-four of them produce three tenths of one per cent of revenue and consume 22% of production setup hours — sixty-one hours a year each, because every one of them still has to be scheduled and the line still has to be changed over for it.

FIGURE 4 Cumulative share of FY25 revenue by SKU, ranked. The curve is flat after SKU 120.

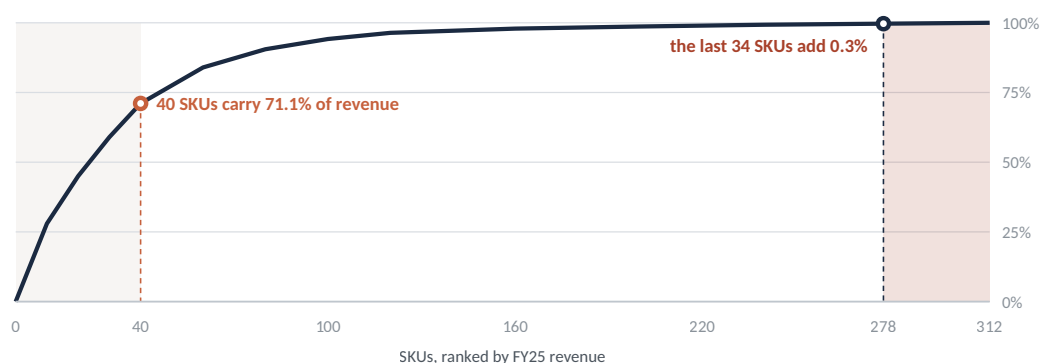


TABLE 4 SKU concentration, FY25

BAND	SKUS	REVENUE	SHARE	SETUP HOURS	AVG ORDER
Top 40	40	€41.5M	71.1%	3,290	€14,200
Middle	238	€16.7M	28.6%	4,040	€6,700
Tail	34	€0.20M	0.3%	2,070	€1,900
Total	312	€58.4M	100%	9,400	

The tail is not a pricing problem, it is a capacity problem. Every tail run takes the line down for a changeover that a top-40 run would not need, and the plant sits at 91% of practical capacity in the second and fourth quarters. Retiring the tail saves almost no direct cost. What it does is free 2,070 setup hours that the plant can sell.

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Freight and labour

Inbound freight cost €2.41M in FY25, spread across eleven carriers. There has been no freight tender since 2023, and 38% of inbound loads now move at spot rates negotiated by the receiving warehouse. Benchmarks from the comparable set put a two-carrier contract 12% below Halcyon's current blended rate.

Labour productivity accounts for 0.7 points and is a consequence rather than a cause. Setup hours per order rose 11% over the eight quarters, and the rise tracks the SKU count almost exactly. No interview produced any evidence of a change in working practice, absence or skill mix that would explain it independently. Retiring the tail addresses most of this line, which is why we have not proposed a separate labour initiative.

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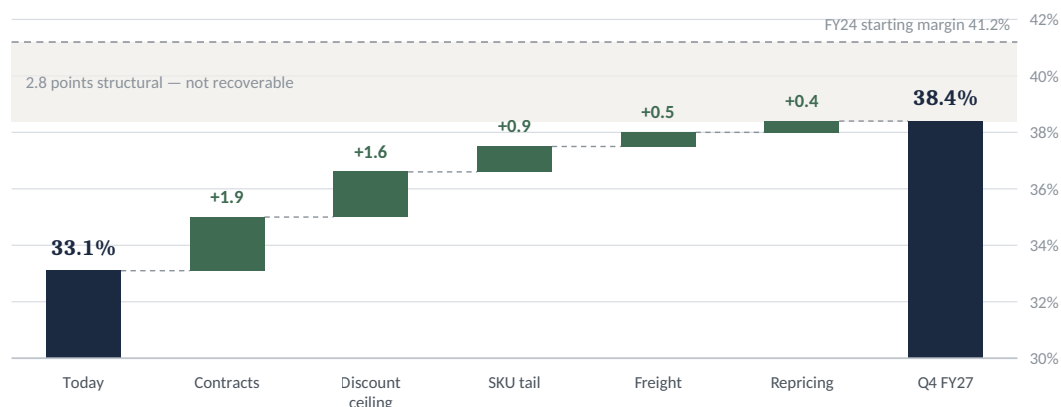
The recovery plan

Five moves, sequenced across four quarters, recover 5.3 of the 8.1 points. Each is costed against the FY25 base and each has a single named owner. The order matters: the input contracts renew in Q3 FY26 and the window does not reopen for a year.

TABLE 5 Recovery plan

#	MOVE	POINTS	VALUE / YR	QUARTER	OWNER
1	Re-tender board, foam and powder-coat contracts	+1.9	€1.11M	Q3 FY26	Procurement
2	Discount ceiling in the quote tool, CFO override above	+1.6	€0.93M	Q2 FY26	CFO
3	Retire 34 tail SKUs, sell the freed capacity	+0.9	€0.53M	Q3 FY26	Operations
4	Consolidate inbound freight to two carriers	+0.5	€0.29M	Q4 FY26	Logistics
5	Reprice the standing catalogue	+0.4	€0.23M	Q2 FY26	Commercial
Total		+5.3	€3.09M		

FIGURE 5 From 33.1% to 38.4% across four quarters. The grey band is the 2.8 points of structural mix shift this plan does not attempt to recover.



HOW EACH NUMBER IS BUILT

- Board, foam and powder coat were €14.6M of FY25 cost of goods. Benchmark quotes from the comparable set sit 7.5% below Halcyon's current terms: €1.11M, or 1.9 points.
- A 15% ceiling in the quote tool brings the blended tender discount from 19.4% to 14.0% — still well above the 11.8% of FY24, deliberately. On 29% of revenue that is 1.6 points.
- Each freed setup hour converts to roughly €670 of top-40 revenue at the plant's current throughput. The 2,070 hours released by the tail are therefore worth €1.39M of revenue at 38% margin: €0.53M, or 0.9 points. This assumes the plant sells the freed capacity, which at 91% utilisation it has been unable to accept.
- A two-carrier freight contract at the benchmark 12% saving on €2.41M returns €0.29M, or 0.5 points.
- The catalogue was last repriced nineteen months ago. A 1.0% list increase across the €41.5M of non-tender revenue, assuming 45% is given back in negotiation, nets €0.23M, or 0.4 points.

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What it is worth and what it costs

TABLE 6 Investment required

ITEM	COST	TYPE
Interim procurement lead, six months	€135,000	One-off
Quote-and-approve workflow in the ERP	€95,000	One-off
Inventory write-down on retired SKUs	€70,000	One-off
Freight tender support	€40,000	One-off
Total	€340,000	

€3.09M A YEAR AGAINST €340,000 ONCE

The plan pays for itself in under six weeks of recovered gross profit. Exit margin at Q4 FY27 is 38.4%, against 33.1% today and 41.2% two years ago.

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Risks

- Timing. Two of the three input contracts renew in Q3 FY26. Miss that window and 1.9 points slip a full year.
- Governance as policy rather than as a system. A discount ceiling that lives in a document will be ignored inside two quarters. It has to sit in the quote tool, where a sales director cannot proceed without an override.
- The tail costs revenue before it frees capacity. €0.20M of revenue leaves on the day the SKUs are retired, and the freed hours only pay once they are sold. The plan is flat in Q3 FY26 and net positive from Q4.
- Two carriers is a concentration. Keep a third on a standby contract with agreed rates, even at a small premium.
- Discipline. Four of these five moves are one-time actions that hold by themselves. The discount ceiling is the exception — it is the only one that needs somebody to keep saying no.

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The next thirty days

TABLE 7 First month

WEEK	ACTION	OWNER
1	Name one owner for the margin programme, reporting to the CFO	Board
1-2	Pull the three input contracts and confirm renewal dates	Procurement
2	Set the discount ceiling at 15% in the quote tool	CFO
3	Issue the freight RFQ to five carriers	Logistics
4	Board sign-off on the 34-SKU retirement list	Operations

Nothing in this list needs a budget approval or a new hire. The first two weeks are administrative. If they have not happened by the end of October, the Q3 FY26 contract window closes and the largest single item in the plan moves out of reach until FY28.

A

Appendix: sources and basis

- ERP extract, Q1 FY24 to Q4 FY25, pulled 14 July 2026: 1,847 order lines, 312 SKUs, 11 carriers.
- Management accounts FY24 and FY25, unaudited for FY25 Q4 at the time of writing.
- Fourteen interviews, 3–28 July 2026. Notes held by Aldergate Partners and not reproduced here.
- Input cost benchmarks: nine contract-furniture manufacturers in the Benelux and North Rhine-Westphalia buying region, collected Q2 2026.
- Freight benchmarks: two European 3PL rate cards, August 2026.

This report is a concept document created to demonstrate document design. Halcyon Interiors, Aldergate Partners, and every figure, name and finding in it are invented. Any resemblance to a real company is coincidental.